

EXHIBIT BUNDLE

CONTRACT EXTRACTS AND PAYMENT DOCUMENTATION

JCT Design and Build Contract 2016 (as amended) — Interim Application 18

Exhibit references	CT/1 (contract particulars and amended clauses); IA/18 (interim application); PN/0 (absence of payment notice); PLN/1 (pay less notice); VM/1 (employer's agent certificate)
Proceedings	Coldbrook Capital LLP v Meridian Structures Limited, TCC Leeds, HT-2025-LDS-000112; and Meridian's Part 8 claim for enforcement of the notified sum, HT-2025-LDS-000098 (stayed)
Contract	JCT Design and Build Contract 2016 with bespoke amendments (the 'Ashen & Fyfe Amendments, March 2023'), dated 3 April 2023. Contract sum £41,780,000.

PART 1 — RELEVANT CONTRACT TERMS (exhibit CT/1)

Clause	Term (as amended; amendments in <i>italics</i>)
Contract particulars, cl. 4.7.2	Interim Valuation Dates: the 24th day of each month.
cl. 4.7.3	Due date: 7 days after the Interim Valuation Date.
cl. 4.9.1	Final date for payment: 21 days after the due date.
cl. 4.9.2 (Payment Notice)	The Employer shall give a Payment Notice not later than 5 days after the due date, specifying the sum considered due.
cl. 4.9.4 (Pay Less Notice)	If the Employer intends to pay less than the sum stated as due, the Employer shall give a Pay Less Notice not later than 5 <i>days</i> before the final date for payment.
cl. 4.9.5	Where neither a Payment Notice nor a Pay Less Notice is given, the sum stated as due in the Contractor's Interim Application shall be the sum due.
Schedule 3, Milestone 6	£610,000. Triggered on: 'the structural frame being complete to level 9 and all loading platforms being complete and independently certified in accordance with BS 5975, evidenced by the Contractor's production of the relevant Category 2 check certificates, and the Employer's Agent being satisfied of the same.'
cl. 8.4.1 (as amended)	The Employer may give notice specifying a default. <i>If the Contractor continues the specified default for 14 days from receipt of that notice, the Employer may, on or within 21 days from the expiry of that 14 day period, by a further notice terminate the Contractor's employment.</i>
cl. 8.4.1.6 (bespoke)	<i>A material misrepresentation by the Contractor as to compliance with any statutory health and safety requirement, or as to the existence or content of any certificate required under Schedule 3, shall be a specified default for the purposes of clause 8.4.1.</i>
cl. 8.4.4 (bespoke)	<i>Notwithstanding clause 8.4.1, where the Employer reasonably believes that the Contractor has acted fraudulently, the Employer may terminate with immediate effect by written notice, and no cure period shall apply.</i>
cl. 1.7 (notices)	Notices shall be given in writing and delivered by hand or sent by recorded delivery to the address stated in the Contract Particulars, <i>and shall additionally be sent by email to the addresses stated. A notice not sent by email in accordance with this clause shall be of no effect.</i>
cl. 9.2 (adjudication)	Any dispute may be referred to adjudication under the Scheme for Construction Contracts.

Note for the reader. Clause 4.9.4 as amended requires a Pay Less Notice 'not later than 5 days before the final date for payment'. Clauses 8.4.1 and 8.4.4 are in tension: 8.4.1.6 makes a misrepresentation as to certificates a specified default requiring a 14 day cure period, while 8.4.4 permits immediate termination for fraud. The relationship between them is in issue.

PART 2 — THE PAYMENT SEQUENCE

Date	Event	Document	Contractual significance
24 Nov 2023	Interim Valuation Date 18	—	cl. 4.7.2
24 Nov 2023	Meridian issues Interim Application 18: gross £22,411,900; net sum applied for £1,842,500, expressly including Milestone 6 at £610,000	IA/18	Contractor's application
30 Nov 2023	Vellacott Marr LLP (Employer's Agent) signs Milestone 6 certificate confirming 'all loading platforms complete and independently certified'	VM/1	See Part 3 below
1 Dec 2023	Due date	—	cl. 4.7.3
6 Dec 2023	Last day for a Payment Notice. None given.	PN/0	cl. 4.9.2

Date	Event	Document	Contractual significance
8 Dec 2023	Coldbrook serves notice of specified default under cl. 8.4.1 alleging breach of cl. 8.4.1.6	See D16	Starts 14 day cure period expiring 22 Dec 2023
10 Dec 2023	Last day for a Pay Less Notice (5 days before final date for payment)	—	cl. 4.9.4
12 Dec 2023	Coldbrook serves Pay Less Notice stating sum due as NIL	PLN/1	Two days late on its face
15 Dec 2023	Final date for payment. No payment made.	—	cl. 4.9.1
19 Dec 2023	Coldbrook purports to terminate	See D16	11 days after the default notice

PART 3 — THE PAY LESS NOTICE (exhibit PLN/1), extract

From: Vellacott Marr LLP, Employer's Agent, on behalf of Coldbrook Capital LLP
To: Meridian Structures Limited
Dated: 12 December 2023
Sent: By recorded delivery (received 13 December 2023, 09:14) AND by email to commercial@meridianstructures.co.uk at 17:52 on 12 December 2023

“PAY LESS NOTICE under clause 4.9.4. The sum which the Employer considers due at the date of this notice is NIL. The basis on which that sum is calculated is as follows: (i) the sum applied for in Interim Application 18 includes Milestone 6 at £610,000, which was not properly triggered because the certificate relied upon (TWDC-BW-07) was not a genuine independent Category 2 check certificate; (ii) cross-claims for defective and dangerous temporary works in the sum of £1,410,000; (iii) liquidated damages accrued from 3 November 2023 at £22,000 per week; (iv) the Employer reserves the right to set off all losses arising from the incident of 14 November 2023, currently unquantified but not less than £4,000,000.”

Positions of the parties on the Pay Less Notice

- **Meridian:** the notice is out of time. The notified sum in IA/18 became the sum due under cl. 4.9.5 and must be paid, whatever the merits of the cross-claims. It relies on the line of authority beginning with ISG Construction Ltd v Seevic College and as restated in S&T; (UK) Ltd v Grove Developments Ltd and Bexheat Ltd v Essex Services Group Ltd.
- **Coldbrook:** (i) the notice was in time because the amendment to cl. 4.9.4 should be read as 'not later than 5 days before the final date for payment' meaning 5 clear days excluding the day of service and the final date, on which analysis 12 December is compliant; (ii) alternatively, the notified sum cannot be enforced where the application is itself the product of fraud, relying on SG South Ltd v King's Head Cirencester LLP and Gosvenor London Ltd v Aygun Aluminium UK Ltd; (iii) alternatively, the application was not a valid application at all because it was not accompanied by the substantiation required by cl. 4.7.4, and an invalid application generates no notified sum.
- **Meridian in reply:** fraud must be raised at the time and by the notice mechanism, not retrospectively; Coldbrook's own agent certified Milestone 6 on 30 November 2023, sixteen days after the collapse and after Coldbrook's own solicitors had been notified of the incident; and the substantiation point was never taken at the time.

PART 4 — THE EMPLOYER'S AGENT'S CERTIFICATE (exhibit VM/1)

Field	Entry
Issued by	Vellacott Marr LLP, Employer's Agent
Date	30 November 2023
Milestone	6
Certification	'We confirm that the structural frame is complete to level 9 and that all loading platforms are complete and independently certified in accordance with BS 5975. We are satisfied of the same.'
Certificates listed as reviewed	TWDC-BW-01 to TWDC-BW-07 inclusive
Signatory	Mr Casimir Vellacott-Ahn MRICS, partner
Sum certified	£610,000

Matters arising. The certificate was issued sixteen days after the collapse and after Coldbrook had instructed solicitors. Mr Vellacott-Ahn states in a witness statement dated 4 April 2025 that he 'reviewed the certificates as a documentary set and

confirmed that seven certificates existed; it formed no part of my role to verify their authenticity, and I had no reason to doubt it'. He accepts he did not notice that TWDC-BW-07 bore no Halbrook job number, no digital signature, no wet signature, a blank Temporary Works Coordinator countersignature box, and a different typeface from the other six. Meridian pleads estoppel by convention and waiver. Coldbrook pleads that a certificate procured by fraud is a nullity and that its agent's satisfaction was vitiated by the deceit practised upon him.

A further complication. Vellacott Marr LLP also acted as Coldbrook's monitoring surveyor for the project's senior lender, Kirkstall Mercantile Bank plc, under a separate appointment. Meridian contends that Vellacott Marr was in a position of conflict and that its certificate cannot be disowned by Coldbrook when it suits. Coldbrook contends the two roles were properly separated by an information barrier, documentation of which has not been disclosed.